LOAN AND CREDIT AGREEMENT

This Loan and Credit Agreement (this "Agreement") is made and entered into as of July 2, 2024 (the "Effective Date"), by and between Vertex Logistics Corp., a corporation organized and existing under the laws of the State of Delaware (the "Borrower"), and First National Commercial Bank, a national banking association with its principal office in New York, New York (the "Lender").

1. CREDIT FACILITY

1.1 Committed Amount. Subject to the terms of this Agreement, the Lender agrees to extend to the Borrower a senior secured credit facility in an aggregate principal amount of Twenty Million Dollars (US$20,000,000).

1.2 Purpose. Proceeds shall be used for working capital, fleet replacement, permitted capital expenditures, and general corporate purposes.

1.3 Availability. Loans may be drawn subject to satisfaction of all conditions precedent and ongoing compliance with financial covenants.

2. INTEREST; FEES

2.1 Interest Rate. Outstanding principal shall bear interest at a rate per annum equal to three-month Term SOFR plus 2.75%.

2.2 Interest Payment Dates. Interest shall be payable quarterly in arrears.

2.3 Default Rate. Upon an Event of Default, interest shall accrue at an additional 4.00% per annum.

3. MATURITY; AMORTIZATION

3.1 Maturity Date. April 30, 2029, unless earlier terminated pursuant to this Agreement.

3.2 Amortization. Monthly principal payments of $210,000 commencing August 1, 2024.

4. FINANCIAL COVENANTS

Borrower shall maintain the following financial covenants, tested quarterly on a consolidated basis:

(a) Minimum Debt Service Coverage Ratio (DSCR) of not less than 1.25 to 1.00.

(b) Maximum Total Debt to Tangible Net Worth of 3.00 to 1.00.

(c) Minimum Current Ratio of 1.30 to 1.00.

5. COLLATERAL

The Obligations shall be secured by a first-priority perfected security interest in all accounts receivable, inventory, equipment, fleet vehicles, and proceeds thereof, subject to permitted liens.

6. EVENTS OF DEFAULT

Failure to pay principal, interest, or fees when due.

Breach of any financial covenant, including failure to maintain DSCR.

Material misrepresentation, insolvency, or bankruptcy events.

7. MISCELLANEOUS

7.1 Governing Law. This Agreement shall be governed by the laws of the State of New York.

7.2 Confidentiality. The terms of this Agreement are confidential.

7.3 Counterparts. This Agreement may be executed in counterparts.

IN WITNESS WHEREOF, the parties have executed this Agreement as of the Effective Date.

VERTEX LOGISTICS CORP.

By: ____________________
Name:
Title:

FIRST NATIONAL COMMERCIAL BANK

By: ____________________
Name:
Title: